Business Management SL and HL · Set B · Paper 1

Question booklet · 90 minutes · 30 marks

Answer every compulsory question and choose one complete Section B option. A calculator is permitted. Use the case evidence and show calculations. Write on separate paper.

Unseen case study · Sundial Sound

When Sundial Sound began, its founder also edited every recording. Its 11 employees now work with 26 freelance narrators. Small public libraries have relied on its unusual local-language catalogue for five years. Each library buys a one-year licence. This allows unlimited loans of a title to members of that library, but only one user may listen to the title at any given time. Libraries pay at the start of the licence period.

The company has two objectives for the next year. It wants to earn sufficient profit to finance accessible editions with descriptions of visual material. It also wants to increase access in areas where sales of printed books are low. Its accountant has warned that developing new titles before libraries sign contracts ties up cash. The founder’s younger brother, a director, would prefer to treat all new production as an opportunity for growth.

Indicator	Two years ago	Last year
Annual library licence revenue / CU	192,000	216,000
Number of subscribing libraries	80	96
Eligible libraries that renewed	90%	82%
New titles recorded	24	36

Several libraries joined on discounted trial licences during the last year. The head librarian at a long-standing customer said that some members wait six weeks for a popular title while other titles are seldom borrowed. Library managers receive annual usage reports. They cannot yet see current queues. Independently, a narrator proposed recording brief extracts for use in promotion. Narrators would have to consent to having their voices used in advertisements.

Luma, an established streaming platform, offers a two-year distribution agreement. It will pay a fixed CU 90,000 fee each year for exclusive access to Sundial’s twelve most popular titles on personal streaming services. Sundial can still sell those titles to libraries. Luma expects to attract new listeners through its own promotion, but it will determine the consumer price and will share only quarterly totals. Authors receive a royalty for each title used commercially. Sundial has yet to settle what Luma plays will count as a royalty-bearing use.

Sundial’s editor fears that the platform will favour the best-selling language and discourage investment in smaller audiences. A librarian argues that easier personal access could reduce queues and make libraries more willing to renew. Another librarian argues that members may instead expect the library to cancel licences for titles available elsewhere.

An alternative is a six-month library pilot. For a small supplement, a library could allow up to three users to listen to a popular title at once and see weekly waiting lists. Eight urban libraries volunteered after receiving an invitation by email. Staff would interview librarians and compare renewal intentions with actual renewals later. No rural library volunteered. Running the pilot would take two staff away from

preparations for six forthcoming titles. The board must choose whether to sign Luma's current terms, negotiate changes or give priority to the pilot.

Section A · Publishing and distribution [20]

(a) Define the term revenue. **[2]**

(b) Calculate the percentage change in average annual licence revenue per subscribing library. **[3]**

(c) Explain one possible conflict between Sundial's objectives. **[3]**

(d) Explain one advantage and one disadvantage to Sundial of the outsourcing arrangement with narrators. **[4]**

(e) Explain two limitations of using the eight volunteers to predict renewal by all libraries. **[4]**

(f) Explain two ways weekly usage information could improve a library's purchasing decisions. **[4]**

Section B · Option 1 [10]

(a) Evaluate whether Sundial should accept Luma's proposed agreement. **[10]**

Section B · Option 2 [10]

(a) Discuss whether Sundial should give priority to the library pilot over producing the six forthcoming titles. **[10]**

End of question booklet · 30 marks